

Sarafu.

Financial visibility for the 5.85 million Kenyan businesses that have no books.

EVENT	TRACK	STATUS
AI Mashinani 2026	Biashara	Working prototype

5.85M

unlicensed MSMEs in Kenya, with no books at all

60–70%

fail within three years, poor records a leading cause

\$19.3B

MSME financing gap they cannot reach without records

01 The problem

A Kenyan shopkeeper knows money came in today. She cannot tell you whether she made a profit this month.

That is not a knowledge gap. It is a data gap. Her business runs on three ledgers that never meet:

- 1. **M-Pesa**, a flat list of money in and money out with no meaning attached. Nothing in it says which line was a sale and which was stock.
- 2. **Cash**, which leaves no record at all.
- 3. **Memory**, which is where margin, top customers and tax exposure actually live.

Nobody has ever put those three in one place for her, because every tool that exists assumes she already has what she does not have: a till number, a paybill, an accountant, or a formal registration.

The evidence

FACT	FIGURE	SOURCE
MSMEs in Kenya	7.41 million	KNBS MSME Survey
Of which unlicensed, entirely informal	5.85 million	Draft MSME Policy 2025
Share of all Kenyan businesses	98%	FSD Kenya / IFC
Share of new jobs created in 2024	703k of 782k	Economic Survey 2025
MSMEs that fail within three years	60 to 70%	Ministry of Trade
SMEs collapsing annually, poor records a leading cause	400,000+	KNBS
Kenyan MSME financing gap	USD 19.3 billion	FSD Kenya
MSMEs with no access to credit	67.9%	FSD Kenya, 2020
SME transactions touching M-Pesa	over 90%	Industry estimate

Read those together and the causal chain is not subtle. No records, so no visibility. No visibility, so pricing and stock decisions are guesses. No records, so no lender will underwrite her, which is a large part of a USD 19.3 billion gap. Then the business dies inside three years and gets counted in the 400,000.

The competitor that matters is Safaricom

Not Zoho. **Pochi la Biashara** already gives a micro-trader a separate business wallet on the same M-Pesa line, free, reachable on *334# and the SIM toolkit, with mini-statements, Taasi loans and Ziidi savings attached. Over 900,000 active merchants use it, more than half of them women. Safaricom also already scores M-Pesa cashflow for credit through M-Shwari, Fuliza and Taasi. They own the data, the rail and the distribution.

Pochi separates the money. It does not explain the money. A second wallet gives her a balance. It does not give her a margin. No expense side, no categorisation, no cost of goods, no tax position. Knowing KES 84,000 came in tells her nothing about whether she made anything, which is the exact question she cannot answer today.

Three structural reasons the gap persists:

1. **Safaricom sees only what crosses M-Pesa.** Cash is invisible to them by construction, and cash is a large share of informal trade. Their picture cannot be completed from the inside.
2. **Their incentive is transaction volume, not legibility.** Safaricom monetises payments and lending against float. Making a duka's P&L legible to its owner moves neither number, so it stays a feature request forever.
3. **The tail is unglamorous.** Categorising a hardware stall's supplier payments is messy, low-ARPU, support-heavy work. Not where a telco with a 50 million user base spends product cycles.

The honest version: they could. It is in the risk table.

Why the accounting tools do not close it either

ZYNO Books, Qwan, Zoho Books Kenya edition and Auni all handle M-Pesa in some form. Every one is built for the business that is **already formal**: paybill or till, an active KRA PIN, often a bookkeeper, and turnover that justifies a subscription and a setup process.

That is roughly 1.56 million businesses. The other 5.85 million are not underserved by those products. They are **out of scope** for them.

The gap is not better accounting, and it is not another wallet. It is a first ledger for a business that has never had one, covering the cash Safaricom cannot see, with zero integration and zero registration as preconditions.

02 Who Sarafu is for

The owner-operator doing KES 50,000 to KES 4 million a year. A duka, a salon, a hardware stall, a boda fleet of three, a food kiosk, a small distributor. She runs the business from one phone. She banks on M-Pesa. She takes cash. She has no accountant and no paybill, and if she has a KRA PIN she has probably not thought about turnover tax.

Two numbers, kept separate on purpose:

- **Reach ICP:** the whole informal tail, from KES 50,000 a year upward. Free, permanently. This is the funnel and the dataset.
- **Paid ICP:** the KES 1M to 25M turnover band, where turnover tax is a legal obligation and a subscription is a rounding error against revenue.

Conflating those two is how this pitch got the pricing wrong the first time. See the business model section.

Explicitly **not** the target for v1: VAT-registered businesses with a finance team. They are already served.

03 What Sarafu does

Three surfaces, one loop.

Import

She gets her statement to Sarafu, and Claude turns it into a ledger. No Daraja integration, no till number, no paybill, no bank connection, no KRA credentials. Claude parses the raw statement text into structured transactions and gives every line a business meaning: sale, stock purchase, supplier, transport, rent, utilities, wages, fees.

That classification step is the whole product. A statement tells her money moved. A ledger tells her whether she is making money, and only one of those is a business record.

The on-ramp is the hard part, and we should say so

The full M-Pesa statement is requested on *334# and arrives by email as a password-protected PDF. The password is an access code sent by SMS, or on older statements the owner's national ID number. The *334# mini-statement is SMS only and covers the last five transactions, which is not a ledger.

So "just paste it" understates the friction, and any judge who has actually pulled a statement knows it. The real on-ramp ladder:

STAGE	MECHANISM	FRICTION
Today, demo	Paste statement text	Low once she has text, but she has to get it out of the PDF
v1	Forward the statement email to an ingest address, reply with the SMS code to unlock	One forward, one reply. No app, no copy-paste
v2	In-app request flow that walks the *334# steps, then unlocks with the code she pastes	One screen

Email forwarding is the answer, not pasting. Pasting is what fits in a hackathon. Calling that out is more useful than pretending the PDF does not exist.

How cash actually gets in

This is the load-bearing risk in the whole business, so it gets a mechanism and not a hand-wave.

An owner who will not keep books will not log every cash sale. That is definitionally true, and any design that asks her to is already dead. So Sarafu never asks for one entry per sale.

It asks for one number per day.

1. **One scalar, once a day.** End of day: "Cash today?" She types 3400. Ten seconds, one field, no categories, no receipts. This is the entire cash UX.
2. **Then it stops asking.** After roughly two weeks Sarafu knows her cash-to-M-Pesa ratio and her day-of-week shape. The prompt becomes "Yesterday looked like about 3,000 in cash. Right?" and one tap confirms it. Confirmation is easier than recall, and it degrades gracefully when she is busy.

3. **Skipped days are marked estimated, never invented.** A day she does not answer is shown as an estimate and excluded from the tax figure. Sarafu will show her an incomplete number before it shows her a confident wrong one.
4. **It works off-app.** The prompt runs over SMS reply and USSD, not only in the web app, because she is on a feature phone a good part of the time.

The bet: transaction-level bookkeeping fails for this segment, and daily-scalar bookkeeping might not. It is falsifiable, it is the first thing to test with real users, and it is cheap to test.

Dashboard

Revenue, expenses, gross margin, cash position, top customers, best and worst days. Plus manual cash entry, because a purely M-Pesa view of an informal business is a lie by omission. Cash sales sit in the same ledger as M-Pesa sales and the totals are honest.

Tax

The ledger is already the tax return. Sarafu computes turnover tax at 1.5% of gross sales, flags the KES 1,000,000 registration floor and the KES 25,000,000 ceiling, counts down to the 20th of the month, and warns her when she is approaching the KES 5,000,000 line where VAT and eTIMS obligations begin. Output is eTIMS-ready line items, not a lecture about compliance.

Compliance is a by-product of visibility, not a separate product. She does not want to do tax. She wants to know if she made money. Do the second properly and the first falls out of it for free.

04 Why now

The Finance Act 2026 did not give SMEs relief. It raised the price of having no records.

This is the most important thing happening to this market, and it is easy to misread. The Act introduced no sweeping SME tax relief, no bookkeeping incentive, no simplified filing. What it did instead:

1. **KRA can originate its own assessments.** If a business cannot produce records, KRA is no longer limited to auditing what she self-declared. It can estimate her liability and assess her on that estimate.
2. **Declared sales are matched against electronic records.** eTIMS and e-invoicing data are cross-checked against returns, and automated validation of expense claims began in January 2026. Expenses unsupported by electronic invoices are disallowed.
3. **Penalties acquired a floor.** A minimum of KES 10,000 for individuals, KES 100,000 otherwise, for failures including not issuing an eTIMS invoice or not filing electronically.

A business with no books does not avoid tax. It gets estimated.

The Finance Act 2026 is the best thing that has happened to this product, and not because compliance is a market. Because it converts bookkeeping from a chore with no deadline into an obligation with a penalty, for millions of businesses that have no way to comply. Regulation created the demand; nobody has built the supply.

The other two reasons

- **Statement access got easy.** M-Pesa statements are self-service via the app and *334#. The data already exists in the owner's pocket. Nobody has been turning it into a ledger.
- **Parsing stopped being the hard part.** Messy, semi-structured statement text used to need a bespoke parser per format. A frontier model reads it directly, and it reads spoken Swahili just as well. The engineering cost of this wedge collapsed in the last 18 months.

What this changes about the product

The target is not "an accounting app with a nicer dashboard". Those exist. The target is **the bridge between how an informal business actually behaves and what KRA now expects to see.**

Concretely: she types, in Swahili, into a chat.

Nimenunua unga 4,500. Nimeuza leo 8,200. Nililipa helper 600.

Sarafu splits that into three classified transactions, updates the ledger, tells her she made KES 3,100 today, and keeps a record that can be reconciled against eTIMS when she needs it. She did not open an app, learn a category system, or know what a ledger is.

That sentence is the product. Everything else is reporting on top of it.

05 How it works

```
M-Pesa statement text (pasted, no integration)
|
v
Claude Sonnet 5 forced tool call, strict JSON schema
| normalise + classify every line into a business category
v
Transaction ledger <---- manual cash entry
|
+--> Dashboard revenue, expenses, margin, top customers
|
+--> Tax TOT at 1.5%, thresholds, eTIMS-ready lines
```

Stack. Next.js 16 App Router, Astryx for UI, Claude Sonnet 5 via the Anthropic API for parsing and classification, Vercel for hosting.

Sponsor technology, used and not name-dropped. Claude is the parser. There is no regex fallback and no hand-written statement grammar. The product does not function without the model, which is the honest test of whether an AI feature is real.

06 What is defensible

Not the parsing. That is a prompt, and a competitor can copy it in a week. What compounds:

Classification ground truth	Every correction an owner makes, "that payment was stock, not transport", is a labelled example. Kenyan counterparty names, till numbers and supplier patterns form a dataset that only accumulates from real usage.
The cash layer	Everyone reads M-Pesa because M-Pesa has an API. Cash has no API, so it gets ignored, so every competitor's picture is structurally incomplete. This holds hardest against Safaricom: they see every shilling that crosses M-Pesa and none that crosses the counter. Unglamorous, and it is the moat. Also the thing most likely to fail, which is why it gets a mechanism and a risk row.
The credit position	A business with 12 months of verified, categorised cashflow is underwritable. That is the entry point into the USD 19.3 billion gap, and only whoever holds the ledger can reach it.

07 Business model

The first version of this section priced KES 300 to 500 per month at everyone in the target segment. That was wrong, and the arithmetic says so: on a business turning over KES 50,000 a year, KES 400 a month is **9.6% of annual revenue**. Nobody sane pays that for bookkeeping.

It was wrong for a second reason. Turnover tax only applies above KES 1,000,000 of annual turnover. For most of the 5.85 million there is **no tax obligation at all**, so "tax pack" is not an upgrade trigger, it is an irrelevance.

So the segment splits, and the paid ICP is narrower than the target market on purpose.

SEGMENT	TURNOVER	PRICE	WHY THEY STAY
Below the TOT floor	Under KES 1M	Free, always	No tax obligation exists. The pull is a credit-readiness score : "you have 4 months of verified records, 6 months makes you loan-eligible." Visibility plus a reason to keep the streak alive.
The TOT band the paid ICP	KES 1M to 25M	KES 500 / mo	Turnover tax is a legal obligation with a monthly deadline. At KES 1M turnover that is 0.6% of revenue, at KES 25M it is 0.02%. Buys the tax pack, eTIMS-ready export and multi-month history.
Approaching VAT	Near KES 5M	Upsell	The KES 5M line triggers VAT and eTIMS obligations. Warning her before she crosses it is worth real money.
Later, all segments	Any	Rev share	Verified cashflow records as a lending rail, shared with lenders.

Two things this admits. The paid band is a **much smaller slice** than 5.85 million. And that is the design: the free tier is the funnel and the dataset, not the revenue. A business that grows from KES 400,000 to KES 1.2M inside Safaru converts itself, holding a ledger nobody else has.

The ledger is the asset. The subscription is how it stays alive until the lending rail is real.

08 Hackathon scope

- ☒ Problem statement grounded in cited data
- ☐ Paste M-Pesa statement, parsed by Claude into a structured ledger
- ☐ Dashboard: revenue, expenses, margin, top customers, trend
- ☐ Manual cash entry folded into the same totals
- ☐ Tax page: turnover tax at 1.5%, thresholds, filing countdown
- ☐ Deployed to a public URL

Deliberately cut, and named so the cut is visible: authentication, multi-user, PDF upload, stock, live eTIMS filing, M-Pesa Daraja integration. One path working beats four paths broken.

09 Risks, stated plainly

RISK	REALITY
Statement format drift	Model-based parsing tolerates format changes better than a regex parser, but it is not free. Needs an eval set of real statements.
Classification errors	A misfiled transaction becomes a wrong tax figure. Mitigation is a visible one-tap correction path, and never showing a tax number as authoritative without owner review.
Cash entry is manual	The single biggest vulnerability in the business. Mitigation is the one-number-per-day design, then learned pre-fill so confirming replaces recalling. Unproven until real users touch it, and the first thing to test.
Getting the statement out	The full statement is an emailed, password-protected PDF. Email forwarding with an SMS unlock code is the intended path, but it is real onboarding friction and the most likely place a first-time user drops.
Willingness to pay	Solved by narrowing the paid ICP to the KES 1M to 25M band, where KES 500 a month is under 0.6% of revenue. Below the floor the product is free and always will be.
Safaricom builds it	The serious one. They own the data, the rail and the distribution, and Pochi la Biashara is already in 900,000+ hands. The defence is cash, which they cannot see, and incentives, which point them at transaction volume instead. A defence, not a guarantee.
Incumbents move down-market	Zoho or ZYNO could target the informal segment. They would have to give up the paybill assumption, which is most of their architecture.

10 Sources

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